the number of its lifetime trustees violated the 25 per cent statutory limit under Section 30A(2) of the Maharashtra Public Trusts Act. Now, three of its five-member board are lifetime members. The Tata Sons board reportedly agreed to both of Noel's submissions.

Noel left the meeting under the impression that decisions on both matters would remain pending. To his consternation, he learnt later that day that the Tata Sons board had overruled him on both key issues. The board soon issued a media release announcing Chandra's reappointment. Noel was livid. He and Tata Trusts then issued a series of press releases. Tata Trusts called the board's decision on Chandra a 'legal nullity', maintaining that his decision not to offer himself for reappointment had already been accepted and had 'attained finality'. Noel, for his part, said the 'page has turned' and 'it's time now to move on'. He also made public the documents he had tabled at the meeting, setting out why Tata Sons should remain unlisted.

IF TATA SONS IS PUBLICLY LISTED, THE RIGHTS OF TATA TRUSTS AS MAJORITY SHAREHOLDERS STAND TO BE SERIOUSLY IMPAIRED, NOEL ARGUES

The Unique Tata Structure

Noel said, "Tata Sons is not a holding company in the ordinary sense." Approximately 66 per cent of its equity is held by the Tata Trusts. Dividends received from the operating companies flow, through the Trusts, into public charity. "The interests which Tata Trusts bring to this board is public interest held for the millions of beneficiaries of the charities which the dividends of this company sustain. The commercial enterprise and the philanthropy are not adjacent to one another; they are one structure seen from two ends."

Noel had struck at the heart of an issue that had dogged the Tata Group for years: how a philanthropic trust controls the affairs of a mammoth business enterprise comprising 26 listed and 17 unlisted companies, with total revenues of Rs 17.2 lakh crore, a market capitalisation of nearly Rs 22.7 lakh crore and 1.16 million employees. Tata Sons holds a majority stake in most group companies, while some also have cross-holdings in Tata Sons. Tata Sons itself is worth around Rs 9 lakh crore to Rs 12.5 lakh crore, as per different estimates, putting the value of the shares held in it by group companies at up to Rs 1.6 lakh crore. Tata Trusts' 66 per cent stake is worth up to Rs 8.3 lakh crore, while the Shapoorji Pallonji (SP) Group, led by Shapoorji Mistry, brother of Cyrus, holds 18.4 per cent, worth up to Rs 2.3 lakh crore.

Unlike other promoter-run companies, where family members hold majority shares, Tata Trusts controls board decisions at Tata Sons through its nominee trustees on the board. The Trusts comprises eight entities, the largest being Sir Dorabji Tata Trust and Sir Ratan Tata Trust, which hold about 28 per cent and 24 per cent stake, respectively, in Tata Sons. Tata operating companies distribute profits as dividends to Tata Sons, which then channels 66 per cent of those funds to Tata Trusts for philanthropic activities. Apart from Noel and Srinivasan, Sir Ratan Tata Trust has Jimmy N. Tata (Ratan's younger brother), businessman Jehangir H.C. Jehangir and lawyer Darius Khambata as trustees. Sir Dorabji Tata Trust has former bureaucrat Vijay Singh, Khambata, Noel's son Neville N. Tata and former Titan MD Bhaskar Bhat, besides the two mentioned earlier.

The principal activity of Tata Sons, says Noel, is to invest in and support the companies of the Tata Group. If Tata Sons is publicly listed, the rights of Tata Trusts as majority shareholders stand to be seriously impaired, he argues. A listed Tata Sons would be accountable to institutional and foreign shareholders

TATA SONS VS TRUSTS

TATA SONS

ON CHANDRA'S

Board members, minus Noel, **announce Chandra's extension as Tata Sons chairman till 2032**, stating it will accord stability and continuity. They overrule Noel's dissent, citing their fiduciary responsibilities and that they are not passive members

ON TATA SONS'

Board supports the firm going for a public listing, citing that it will bring about better corporate governance and transparency. Moreover, the company will be complying with RBI norms on the matter

ON BUSINESS

Believes high-investment bets like **Tata Digital can be successfully turned around** and scaled



HARISH SALVE
Lawyer, Tata Sons

"While the directors of a subsidiary are directly nominated by the holding company, the Supreme Court has held that they owe fiduciary duty to the subsidiary to which they are appointed. They are not puppets"

(On Trusts' nominee Srinivasan voting for Chandra's extension)